

December, the stock plunged from Rs 663 to Rs 130. Fund managers who had subscribed to the placement had no way of getting out, as trading in the stock would be frozen every day for lack of buyers. Over the next five months, the stock would tumble below Rs 50.

While I had made a decent profit, the regulatory glare in the wake of the scam worried me. My trade in Money Matters was not too big by my own standards but would easily figure among the sizeable trades in the stock over the last six months. I had not benefited from any insider information, and I was confident of being able to prove that. But having to disclose my trade sheets to the regulator and answer their numerous questions was something I always found distressful.

In December 2010, SEBI investigated four companies and found that their promoters had joined hands with market operator Sanjay Dangi and his associate firms to ramp up their stock prices ahead of their capital-raising through share placements to institutional investors. SEBI would later give a clean chit to most of the companies named in the report, but the promoters and market operators could no longer afford to defy the regulator with impunity.

I would have liked to end the year on a winning note, but that was not to be. To my annoyance, the loss happened in an IPO. I was never too keen on IPOs anyway but I invested because some relationships mattered more to me than money.

Even as the market was going nowhere, a company by the name of A2Z Maintenance decided to come out with an IPO. A2Z's main business was installation of power distribution lines and substations. It was also into generating power from renewable energy sources, and managed solid waste for municipalities. But the company's main calling card was a 21 per cent stake held by billionaire investor Rakesh Jhunjhunwala. He had bought the stake in 2006 for around Rs 20 crore, and now, with the company going public, planned to take some money off the table.

The success of the Coal India IPO had clearly showed that pricing mattered more than market conditions. Still, the A2Z management decided to push their luck, confident that Jhunjhunwala's brand power would help command a hefty

premium, despite strong indications from fund managers that they would invest only if they felt the issue was priced reasonably. Now, the definition of what is 'reasonable' depends on the prevailing market sentiment. In a